

# **EquityLens Pro: User Guide and Valuation Methodology**

## **EXECUTIVE SUMMARY**

EquityLens Pro (v6) is an institutional-grade equity research platform designed for the Indian markets (NSE/BSE). By acting as an intelligence layer that integrates live market data with advanced AI, it streamlines the creation of comprehensive financial reports. The tool shifts the paradigm from manual, time-intensive research to an automated, precision-driven workflow, incorporating features like Sum-of-the-Parts (SOTP) modeling, Earnings Surprise tracking, and Sector KPIs. This document outlines the human-centric workflow for utilizing the application and details the core valuation methodologies employed.

### **1. How to Use This File: A Human-Centric Workflow**

While the platform is highly automated, it is designed to be guided by human oversight to ensure institutional accuracy and mitigate hallucination risks. The workflow is structured as follows:

**Configuration & Setup.** The user begins by providing a Gemini API Key to power the AI engine. For enhanced reliability and speed, users can optionally configure Proxy Worker URLs for live data fetching and select their preferred AI model (e.g., Gemini 2.5 Pro).

**Search & Data Fetching.** The user inputs a specific NSE/BSE ticker (e.g., RELIANCE, HDFCBANK) or selects a company directly from the Nifty 100 dropdown. Clicking 'Fetch Live Data' pulls real-time metrics such as Current Market Price (CMP), Market Cap, P/E ratio, and 52-week range.

**Manual Override & Financial Grounding.** This is the critical human intervention step. To prevent the AI from generating reports based purely on estimated data, the user can manually lock in verified figures (Revenue, PAT, EPS, Market Cap). Furthermore, the user can attach the company's actual Annual Report PDF. The AI treats this document as the absolute ground truth for P&L, balance sheet, and segment figures.

**Report Generation.** Once the data is locked and grounded, the user initiates the generation process. The system runs a 7-step analysis: fetching data, identifying the profile, analyzing the business model, reviewing financials, running peer/SWOT analysis, modeling valuation, and writing the final investment thesis.

### **2. Methods Used for Valuation**

The platform employs multiple overlapping financial models to arrive at a defensible target price and investment verdict.

**Sum-of-the-Parts (SOTP) Valuation.** For conglomerates with diverse business segments, the tool breaks down the company and values each segment independently. This prevents the masking of high-growth divisions by slower legacy businesses.

**Discounted Cash Flow (DCF) Modeling.** The application runs a DCF model to project future cash flows and discount them back to the present value. The output provides a clear verdict on whether the stock is overvalued, undervalued, or fairly valued based on intrinsic fundamentals.

**Peer Comparison & Relative Valuation.** The tool benchmarks the target company against its industry peers across seven key metrics. This relative valuation helps anchor the target price within the realities of the current market cycle.

**Earnings Surprise Analysis.** By analyzing recent quarterly beats, misses, or inline reports, the AI gauges near-term momentum and adjusts its catalyst/risk severity scoring.

**Sector KPIs & Segment Analysis.** Valuation is fine-tuned by evaluating industry-specific Key Performance Indicators (KPIs) and segment-wise revenue/margin contributions, ensuring that the valuation multiples applied are contextually appropriate.

### **Conclusion: Precision and Control**

By coupling automated API-driven data retrieval with human-in-the-loop document grounding, EquityLens Pro mitigates the standard risks associated with AI financial modeling. The combination of deterministic inputs (via manual overrides and PDF parsing) with probabilistic analysis (via the Gemini model) ensures that the resulting valuations—whether DCF or SOTP—remain anchored in reality.